

The Global Venture Funding Decline

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January 2024

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Executive Summary

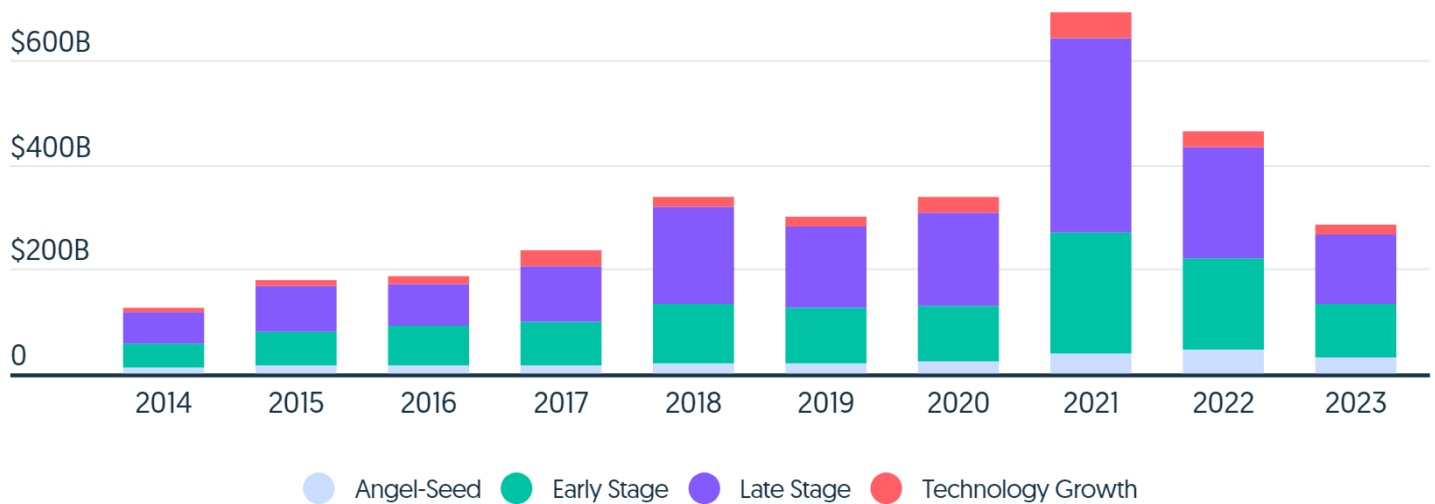
In contrast to the record-breaking levels of the previous years, the global venture capital industry experienced a slowdown in 2023. Investors shifted their focus from riskier asset classes to more secure investment options. Globally, funding decreased, and the United States was not exempt from this trend – influenced by recent interest rate hikes. This decline can be attributed to various factors, including decreasing equity markets, rising interest rates, and persistent geopolitical uncertainties. Despite the historical strength of financing activity throughout the past couple of years, the startup's thriving investments seem to have truly come to an end after a massive fall in both deal flow and valuations from the first to the fourth quarter of 2023.

Global Market Review

A sluggish final quarter concluded a less-than-impressive year for global startup funding as venture capital investors continued exercising caution in 2023. Overall, last year is poised to become the least lucrative for venture funding since 2018. The total global investment in startups for 2023 amounted to \$285 billion, indicating a substantial 38% decline compared to the \$462 billion invested in 2022.

Cutbacks were widespread across all funding stages on a global scale, with early-stage funding experiencing a decline of over 40% year over year, late-stage funding decreasing by 37%, and seed funding by just over 30%. However, it is important to keep something in perspective: overall funding in 2023 dropped by less than 20% when compared to the pre-pandemic years of 2018 to 2020.

Global Venture Dollar Volume By Annum

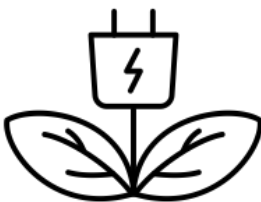


Source: Crunchbase as of January 4, 2024, *Crunchbase*, www.crunchbase.com, Ernst & Young LLP. We include equity financings into VC-backed companies headquartered in the US. Sources of cash investments include but are not limited to, VC firms, corporate investors, other private equity firms, and individuals.

Throughout 2023, startups navigated a challenging funding landscape worldwide, tightened their financial belts, and prioritized unit economics. Layoffs within the tech sector intensified and investors became more cautious in deploying capital, imposing higher standards at each funding stage. The U.S., the largest market for startup investments, representing approximately half of all venture funding, mirrored global patterns.

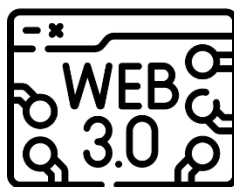
While the majority of industries experienced a year-over-year decline, AI emerged as the most prominent sector showing growth. Global funding directed towards AI startups nearly reached \$50 billion last year, marking a 9% increase from the \$45.8 billion invested in 2022. In 2023, the most substantial funding rounds were secured by foundational model companies, namely OpenAI, Anthropic, and Inflection AI, collectively amassing \$18 billion.

Manufacturing & Clean Tech



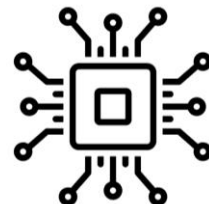
Less than 20% Decline

Web3



Fell by 73%, dropping from \$28 billion to \$7.6 billion

Semiconductor & Battery Tech



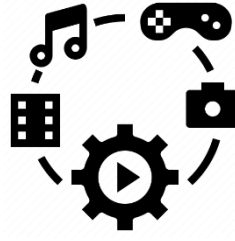
Experienced increased investment

E-commerce & Shopping



Down by 60%

Media & Entertainment



Decline of 64%

Financial Services

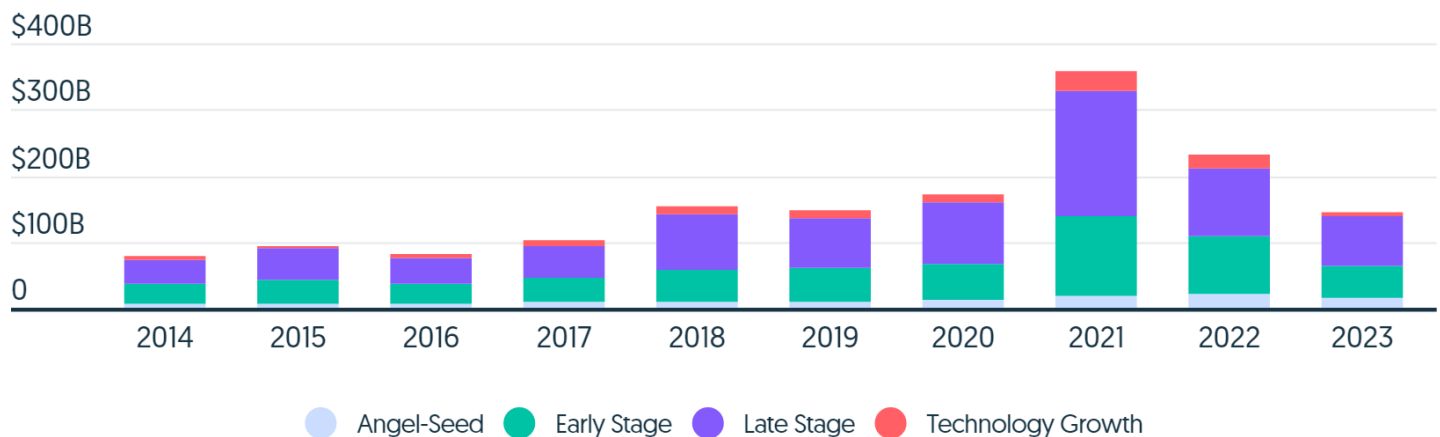


Decline over 50%

USA Market Review

The conclusion of the year 2023 marked a downturn for North American startup investors, ending on a less-than-optimistic tone. The last quarter of the year witnessed a significant retreat in late-stage deals, primarily influenced by a challenging exit landscape. The overall investment scenario throughout 2023 depicted a substantial decline, with total investments across various stages amounting to \$144.3 billion. This figure represents a notable 37% decrease compared to the previous year.

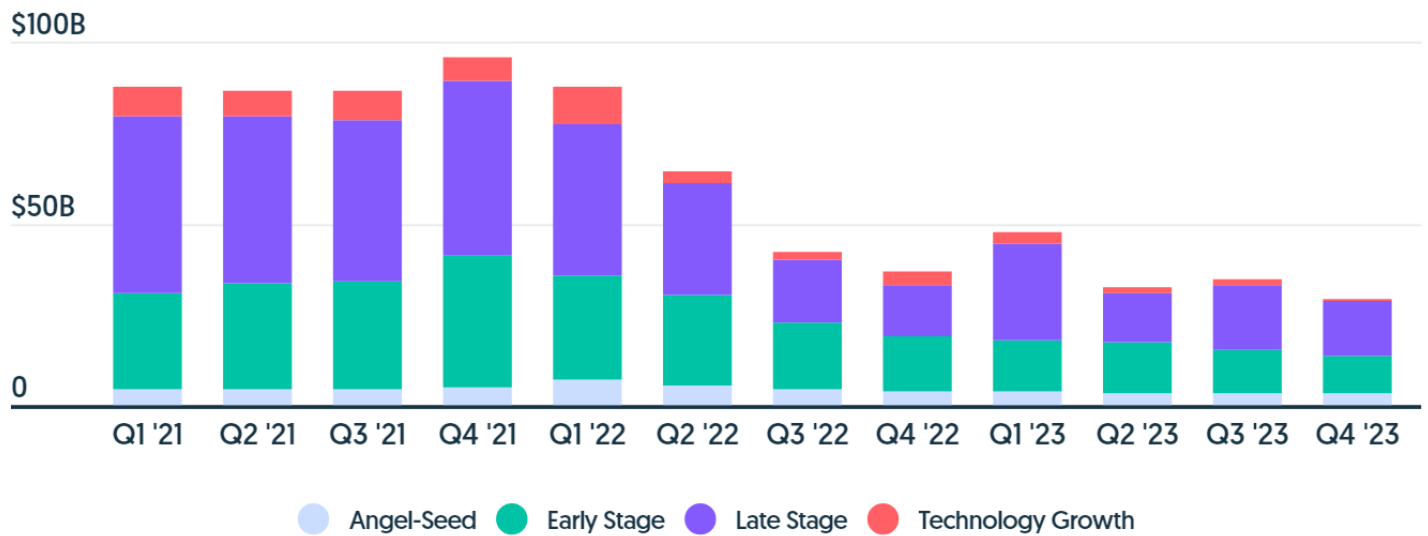
North America Venture Dollar Volume By Annum



Source: Crunchbase as of January 4, 2024, *Crunchbase*, www.crunchbase.com, Ernst & Young LLP. We include equity financings into VC-backed companies headquartered in the US. Sources of cash investments include but are not limited to, VC firms, corporate investors, other private equity firms, and individuals.

The last quarter of 2023 witnessed a notable downturn compared to recent quarters, revealing a contraction in investor activity across various stages, except for seed funding. The cumulative investment in seed through growth-stage rounds for both U.S. and Canadian companies amounted to \$29.3 billion, marking the lowest quarterly total in the past three years. Furthermore, a decline in deal volume was also evident, with reported round counts totaling just over 2,200, reflecting a 16% decrease from Q3 and a 31% decline from the previous year.

North America Venture Dollar Volume Through Quarters



Source: Crunchbase as of January 4, 2024, *Crunchbase*, www.crunchbase.com, Ernst & Young LLP. We include equity financings into VC-backed companies headquartered in the US. Sources of cash investments include but are not limited to, VC firms, corporate investors, other private equity firms, and individuals.

The deceleration in investor engagement was particularly pronounced in the late stage, where diminished post-peak valuations and a subdued IPO (initial public offering) landscape contributed to a reduction in both deal activity and round sizes. Despite pockets of enthusiasm in sectors like generative AI, this was counterbalanced by contractions in areas spanning from fintech to consumer products.

Although the overall investment landscape experienced a downturn, notable highlights included Q4 rounds surpassing the \$1 billion mark. Alongside AI, cleantech, biotech, and next-generation manufacturing emerged as sectors where startups secured substantial funding rounds. Here is a summary of the most significant startup funding deals during the last quarter of 2023, in the USA:

- **Anthropic**, a generative AI startup, successfully obtained funding of up to \$2 billion from Google in October – a noteworthy large-scale transaction during Q4.
- **Metropolis**, a startup utilizing AI to revolutionize the parking industry, was also a substantial fundraiser, securing \$1.1 billion in its Series C funding round.
- **Aiolos Bio**, a recently established startup conducting clinical trials for an asthma drug, announced that it secured \$245 million in Series A funding.
- **Tome Biosciences** and **Terremoto Biosciences**, both biotechnology companies, raised \$213 million Series A and \$175 million Series B, respectively.
- **Together AI**, a cloud-based platform designed for constructing open-source generative AI, landed a Series A or B round of \$100 million or more in Q4.

Upcoming Landscape

Two years into the deceleration, the venture markets are still grappling with the aftermath of the funding surge in 2021. The decline in tech stocks and the sluggish pace of the IPO market since the onset of 2022 have subdued the industry's momentum. Valuations established in 2021 did not withstand the test in 2023, as promising companies faced flat and down rounds.

Nonetheless, investors are undoubtedly optimistic that the upcoming year will usher in improved luck concerning funding exits and valuations of portfolio companies. Although 2023 witnessed positive rounds and uplifting moments, the overall funding statistics unmistakably depict a challenging year. Despite the possibility that startup shuttering and layoffs will likely continue, investors maintain a hopeful outlook, believing that the majority of the difficulties from the past couple of years are now behind them.